

investing in Boeing, which along with Europe's Airbus consortium will build the foreign fleets to accommodate increasing air traffic abroad.

We are almost right at the bottom of a five-year down cycle in the aircraft industry. Industry studies indicate that in the next 20 years, there will be 12,000 new aircraft built to satisfy incremental global demand and 4,000 to replace aircraft that will be retired because they are too old or fuel-inefficient or don't meet new noise-control requirements. That's 16,000 new airplanes to be built over the next two decades. Boeing, which is a technological leader, will get the lion's share of orders.

Over the next five years, you could probably make a lot of money investing in international airline stocks.

Another option is to invest in vendors to Boeing. There are very few pure plays in this arena, but companies deriving a material volume of revenues from commercial aerospace include Ametek, Precision Castparts, Moog, Crane, SPS Technologies, Honeywell and Curtiss-Wright. Sequa Corp., whose Chromalloy division is a leader in jet engine maintenance and repair, would be a good "aging of the existing fleet" play.

THE DEAL

Another global dynamic that isn't new, but is far from finished, is strategic merger-and-acquisition activity. At the 1995 Roundtable, I said there would be a ton of deals done in the year ahead. It worked out to be \$158 billion in deals in